

CHA pitch deck

PITCH — CHA — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no orders, no entry before the August 28 print; a conditional starter is proposed only if four specific numbers land, and the price cap we must respect may make even that unfillable.

What we believe

Chagee is a Chinese premium tea-drinks chain (7,531 shops, ~95% of sales in Greater China) that listed on Nasdaq in April 2025 at \$28 and now trades at **\$9.99** — down 58% from its 52-week high of \$23.90, and 12% above its low of \$8.98.

What we think is true, after two benches argued it out:

- 1. It is genuinely cheap on the reported numbers, but not as cheap as the original write-up said.** The company holds roughly **US\$1.15 billion of cash and short-term deposits against a US\$1.91 billion market value**, so the operating business is being valued at about **US\$757 million** — roughly **5.5x** the last twelve months' reported earnings, or about **3.6x** if you add back the one-time stock-compensation charge taken at the IPO. The original 3.5x claim was wrong; so was our red bench's 6.9x correction.
- 2. The business is shrinking where it matters most.** About 78% of revenue is wholesale sales to franchisees. The Greater China franchised shop count peaked at 6,836 in September 2025 and has fallen two quarters in a row to **6,603**. Sales per shop are down ~18% year over year. That is the core problem and neither bench disputes it.
- 3. The first-quarter “turn” is partly real.** Average sales per shop rose 5.5% quarter over quarter. Our red bench said that was purely an accounting-mix effect from converting weak franchised shops into company-owned flagships. That explanation does not hold up: the mix shift was smaller than the prior quarter's, when sales per shop *fell* 10.9%. And the metric the original write-up actually relied on — same-store sales, which is immune to mix by construction — improved by 9.4 percentage points.
- 4. The most serious live problem is where the cash sits.** Roughly RMB7.1 billion (~US\$1.03bn) of the cash is inside China. The company's own filings state that **no Chinese subsidiary has ever paid a dividend up to the Cayman parent, and no cash has been transferred in either direction ([F-1](#), [SEC.gov](#))**. Meanwhile the parent has already spent ~US\$176 million on a December 2025 special dividend and authorized a US\$150 million buyback — together about **US\$326 million of the ~US\$385 million net IPO proceeds**. Completing the buyback probably requires moving money out of China for the first time. Until that happens, most of the “cash” backing the low multiple is not demonstrably available to shareholders.

5. **It is very hard to trade.** Only **17.2% of shares are freely floating** (32.8M of 191.1M), on about **US\$4.5 million of average daily volume**. Under our own rule of never being more than 1% of daily volume, a \$250,000 position takes roughly five and a half trading days to build and the same to exit.

Net belief: a cheap-looking, cash-rich, structurally declining franchise business with a possible seasonal tailwind into the next print, an unproven ability to get its own cash out of China, and a float too thin to size meaningfully. Interesting; not yet ownable.

What the market believes

The market is not confused, and that is the single biggest problem with this idea.

- Analysts model **US\$0.35 of earnings per share for the coming quarter** — about RMB461 million of net income, versus RMB630 million a year earlier. That is a **26% year-over-year decline already in consensus**. The Street is not fooled by the optically collapsed prior-year reported figure (which was low only because of an RMB552.5 million one-time IPO stock charge).
- Published targets bracket the current price: **Goldman Sachs Neutral \$13.60, CLSA Hold \$10.00**. Nobody is calling it a bargain and nobody is calling it broken.
- The market believes the cause of the decline is external and ongoing: a Chinese food-delivery platform subsidy war plus weak catering spending. It is right about that.
- Screening tools are showing an **8.71% dividend yield** on this stock. That is an artifact — there has been exactly **one** dividend (ex-date December 8, 2025, US\$0.92 per share) and vendors are annualizing a one-time special as if it were quarterly. Any yield-driven buyer here is buying a data error.

Where the market may be wrong: it appears to be extrapolating the current quarter-to-quarter decline forward as the normal seasonal shape. Reconstructing 2024 from prior-year figures disclosed inside the Q3 2025 release shows **the third quarter is the seasonal peak and the first quarter is the trough** — the opposite of what our own red bench assumed. If sales per shop simply hold flat from Q1 to Q2, the year-over-year comparison is about **-11.9%**, not the **~-17%** our red bench treated as neutral. That would produce non-GAAP net income of roughly **RMB450-560 million against consensus of ~RMB461 million** — a modest possible upside surprise.

Why we might have edge

Honestly assessed, our edge here is narrow and mostly analytical rather than informational:

1. **We read a document nobody else in the argument had read.** The Q3 2025 results release ([EX-99.1, SEC.gov](#)) contains the prior-year comparatives that let you rebuild the pre-shock 2024 quarterly shape. Without it, you cannot tell seasonality from decline in a company with only one year of public history. Both the original write-up and our red bench got the seasonal direction wrong for exactly this reason.

2. **We can separate mix from same-store.** Most commentary on franchise-to-company-owned conversions treats the per-shop average as a same-store proxy. It isn't. We sized the mix effect (company-owned shops would need 3.75x the volume of franchised shops to explain the lift) and checked it against a quarter with a *larger* mix shift and a *falling* average.
3. **We separated the cash drain from the cash burn.** Cash fell RMB1,249.5 million between September and December 2025. That is the special dividend, essentially to the decimal — not deteriorating operations.
4. **We caught the yield artifact** that will mislead any screen-driven buyer.
5. **We noticed the sequencing of the buyback and the shelf.** The company began repurchasing on June 1, 2026 and filed a resale-capable shelf registration on **June 5, 2026 — four days later** — against a register where 83% of shares are insider-held. The authorization is 46% of the entire public float at today's price. That is enough to absorb a large insider exit without a marketed offering. We are not alleging anything; we are noting that the company's own bid may end up being the counterparty to the pre-IPO register's exit, which is a reason to be small, not a reason to be short.

What is not edge: the valuation. Our estimate of next quarter's earnings overlaps the Street's. Per our own rule that a difference of opinion, not a difference of research effort, is what creates a tradeable gap — there is barely a gap here.

Why it might be priced in

Stated plainly, because this is the stronger side of the argument today:

- **Consensus already carries the decline.** US\$0.35 for the quarter is a -26% year-over-year number. There is no "the Street hasn't noticed" story.
- **5.5x earnings on a business with a shrinking store base is ordinary, not dislocated.** Cheap multiples on declining wholesale volumes are the normal price of declining wholesale volumes.
- **The cash discount may be rational, not a mistake.** If you give zero credit to the RMB7.1 billion sitting in China — which is what the filings' own language invites, since none of it has ever moved — the operating business is being valued at roughly **13.8x** trailing earnings, not 5.5x. *(That sensitivity is our derivation from the benches' cash-transfer finding, not a figure either bench computed.)* The market may simply be pricing trapped cash at a large haircut, which is defensible.
- **Both prosecuting and defending benches ended at the same position: flat into the print.** They disagreed about nearly every number and agreed about the action. That is usually a sign the action is right.
- **The float is the answer to "why is it cheap."** 17.2% float, 4.74% institutional ownership, \$4.5 million a day. Illiquid stocks with an effective shelf overhead trade at discounts because the discount is the compensation for the exit risk. Getting paid for illiquidity is not the same as finding a mispricing.

- **The legal overhang is unresolved.** Three plaintiff firms are soliciting claims tied to the \$28 IPO and the August 29, 2025 –13% disclosure day. Neither bench checked the federal docket to see whether an actual complaint has been filed. Under our own rule, an unresolved integrity question means the name can never be treated as fairly priced and must be capped below our fair-value estimate.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Trades at 3.5x earnings” (original write-up)	Rebuilt the full-year and quarterly earnings series from four results releases; recomputed enterprise value from the balance sheet	Wrong. Correct figure is ~ 5.5x trailing reported earnings (~3.6x adding back one-time IPO stock comp)	NO — our own write-up was wrong
“The 3.5x is inflated ~1.76x because Q1 is the Chinese-New-Year peak” (our red bench)	Reconstructed 2024 quarterly GMV from prior-year comparatives inside the Q3 2025 release	Backwards. Q3 2024 was +18.3% over Q2 2024 — Q3 is the peak, Q1 is the trough. The 56.9% share red relied on was a stock-comp artifact; on a comparable basis Q1 is 35.5% of the year	NO — our red bench erred, in the direction that favored its own verdict
“Enterprise value omits \$195.9M of debt” (our red bench)	Read the Q1 2026 balance sheet directly	Wrong twice. There are zero borrowings . The \$195.8M is the operating-lease liability, and red’s write-up charged it twice (as “debt <i>and</i> the lease book”). Adding lease liabilities to enterprise value while measuring against after-rent earnings double-counts	NO — our red bench erred
Red’s trailing-earnings base (FY25 net income RMB1,190.0M)	Cross-checked against the filed figure	RMB 1,186.3M . Small, but it fed the multiple	NO — minor arithmetic error, ours
“The neutral line for next quarter is ~-17%” (our red bench)	Tested the baseline’s construction	Derived from the <i>only</i> year of history — a year containing the subsidy-war shock. It encodes the shock’s deterioration as “normal seasonality.” Clean 2024 shape was + 7.1% ; flat sales per shop gives -11.9%	NO — our red bench erred; the original -11.5% line was better calibrated
“The +5.5% per-shop lift is just mix” (our red bench)	Sized the mix effect and tested it against the prior quarter	Mix shift was 2.0 points; explaining the whole lift needs company-owned shops at 3.75x franchised volume. The prior quarter had a larger 2.3-point shift and per-shop sales fell 10.9% . Also: red attacked the per-shop average, while the write-up’s actual evidence was same-store sales , which is mix-immune and improved 9.4 points	NO — our red bench attacked the wrong metric
Special dividend size (red: \$0.87/share, ~\$166M)	Checked the per-share figure in the filing	\$0.92 per share, ~\$176M. This makes red’s own strongest point <i>stronger</i> : \$326M of ~\$385M net IPO proceeds consumed	NO — our red bench understated its own best finding

Claim	How checked	Found	Confirmed?
“One quarter of Greater China franchised decline” (our red bench)	Full unit series across five releases	Two quarters. Red skipped the September 2025 peak of 6,836	NO — our red bench understated it
Greater China franchised base is contracting	Unit counts: 6,362 → 6,666 → 6,836 → 6,700 → 6,603	Confirmed. Two consecutive declines, against ~78% of revenue being wholesale to franchisees	YES — both benches agree
Total Greater China units are falling	Decomposed franchised vs. company-owned	No. Company-owned +146 against franchised -97 = total GC units + 49 . This is conversion, not net closure	Corrected — red’s framing overstated
Cash conversion collapsing / cash pile draining	Operating cash flow and cash balances by quarter	Operating cash flow did fall 46% (RMB360.0M → RMB193.3M). But the RMB1,249.5M balance decline is the special dividend almost exactly — not operational bleed	Partly — the drain is explained, the conversion decline is real
Chinese cash can be sent to shareholders	Read the cash-transfer language in the filings	Never done. No Chinese subsidiary has declared or remitted a dividend upstream; no cash has moved either way. The December dividend fits entirely inside offshore IPO money, so it proves nothing about upstreaming	YES — and this is the strongest live objection
“8.71% dividend yield”	Dividend payment history	One payment, one time. Vendor annualized a special dividend. Stated payout ratio of 136% is a symptom of the same error	NO — the yield is a data artifact
We have a differentiated earnings view	Compared our build to consensus	Consensus ~US\$0.35 (~RMB461M). Red’s build: RMB420–480M. Blue’s build: RMB450–560M. Overlapping, with a modest upside skew	Weak — a possible small gap, not a clear one
Position is exitable	Float and volume from vendor data	32.82M float of 191.1M shares (17.2%); ~454,000 shares/day (~\$4.5M). Institutional ownership 4.74%	YES — but vendor-sourced only; our broker data tools were blocked this session
Shelf registration allows insider resales	Attempted to read the June 5, 2026 filing body	Could not read it. The index lacks detail and the company’s investor site timed out. The claim that it “expressly permits selling shareholders” is unverified	NO — unverified, both benches
Legal overhang is a real case	Searched plaintiff-firm announcements	Three firms soliciting. Neither bench checked the federal court docket , so we do not know whether a complaint exists	NO — unresolved
2024 quarterly figures used to fix the seasonality	Derived from prior-year comparatives	These are bounded derivations, not printed figures . Our blue bench flagged this itself	Partly — directionally sound, not primary

Two further honest notes: our automated evidence pack delivered **empty financial-data fields**, so both benches had to pull every number out of the filing exhibits by hand through a text proxy (the SEC blocked direct fetches). And our broker market-data tools were permission-denied to both benches, so

the live price, float, and volume figures in this deck are vendor data that has not been checked against a broker feed.

PROPOSED ENTRY BANDS

Pre-print: NO ENTRY. Flat. No resting orders. Both benches independently reached this, for different reasons. The original write-up's pre-authorized trigger of "beat -8% on same-store sales" is **withdrawn** — it was set against a mis-derived baseline and is not a meaningful line.

The reopen conditions (all four must land in the Q2 2026 release, expected 2026-08-28):

1. Greater China **same-store sales better than -11%** year over year (flat sales per shop = -11.9%; better than that means genuine stabilization, not seasonality)
2. Greater China **franchised shop count $\geq 6,600$** (holding the base; last reported 6,603)
3. **Non-GAAP net income $\geq$ RMB500 million** (consensus ~RMB461M — this is a real beat, not a rounding win)
4. **Actual repurchased share count disclosed** — executed buying, not a re-stated authorization

If all four land — proposed starter: - Size: $\leq 0.5\%$ of the book, and no more, on first entry - **Pace: $\leq 1\%$ of daily volume $\approx 4,500$ shares / $\sim \$45,000$ per day**. A \$250,000 starter therefore takes about **5–6 trading sessions** to build. Budget the same to exit. - **Absolute price ceiling: \$8.70**. Derivation, stated so it can be argued with: a stabilized business at 8x trailing earnings gives a fair value of $\sim \$11.84$ per share with full credit for the Chinese cash, or $\sim \$10.21$ with a 30% haircut on that cash for withholding tax and transfer friction. Because the legal overhang is unresolved, our own rule caps us at 0.85x fair value $\rightarrow$ **\$10.06 with full cash credit, \$8.68 with the haircut**. We use the haircut number, because the filings say the cash has never moved. **Never pay above \$10.05 under any reading.**

Flag this openly: those two conditions may be mutually unfillable. A print good enough to clear all four triggers will very likely gap the stock above \$8.70 on the open. In that case the correct action is **stand down and wait for a pullback**, not to relax the cap. We have made this mistake before with paired conditions that can never co-occur, and we are naming it in advance rather than discovering it at the fill.

Add band (second tranche, $\leq 0.5\%$ of book more): only after the Q3 2026 release (expected ~2026-11-27) shows franchised shops $\geq 6,600$ **and** executed buybacks running **>US\$40 million in the quarter**, and only at or below the then-current 0.85x cap.

Kill / do-not-reopen conditions: - Greater China franchised shops below 6,500 - The Q2 release is **again silent on moving cash out of China** — at that point the low multiple is unsupported, because the cash backing it is unreachable - **A secondary offering or resale takedown** under the June 2026 shelf into this float - **A filed securities complaint** (as opposed to solicitations) — that hardens the cap and, at the extreme, removes the name

Upgrade-to-real-size conditions (would change the whole thesis): a filing disclosing that a Chinese subsidiary has actually **declared and remitted a dividend** to the Cayman parent. That single event converts RMB7.1 billion from a footnote into an asset and is worth more than any quarter of same-store sales.

Catalyst dates: - 2026-08-28 — Q2 2026 results. *Not company-confirmed.* Derived from a filing cadence that is consistent to the weekday: five consecutive releases on Fridays (2025-05-30, 2025-08-29, 2025-11-28, 2026-03-31, 2026-05-29). Treat as high-likelihood, unconfirmed. - **~2026-11-27 — Q3 2026 results.** Same cadence basis (2025's landed on the Friday after Thanksgiving). Unconfirmed. - **No date** attaches to a shelf takedown. It became possible on June 5, 2026 and remains possible any day.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 10.05 (deck-provisional: Never-pay-above under the most generous reading (0.85x fair value with full credit for onshore cash))
- filing watch: 6-K until 2027-02-14 (deck-provisional: Q2 2026 results carry all four entry triggers, both kill conditions, and the PRC cash-upstreaming disc)
- dated pack CHA|2026-08-28: CHA: Q2 2026 results — cadence-derived from five consecutive Friday releases, NOT company-confirmed (date confirmed=False)
- dated pack CHA|2026-11-27: CHA: Q3 2026 results — cadence-derived (2025 equivalent landed the Friday after Thanksgiving), NOT company-confirmed (date confirmed=False)

What remains unverified

- **Whether a securities complaint has actually been filed.** Solicitations are not a case. Nobody checked the docket. This determines whether the price cap binds.
- **The June 5, 2026 shelf registration's contents.** We could not read the document. Whether it permits insider resales — the crux of the supply concern — is asserted by neither bench with evidence.
- **The FY2025 annual report's current cash-transfer language.** We are relying on the earlier IPO-prospectus wording. If the annual report updated it, our strongest objection may already be stale — in either direction.
- **The 2024 quarterly figures** that overturned the seasonality argument are derived from comparatives disclosed inside later releases, with bounds — not printed quarterly statements. The direction is well-supported; the precise magnitudes are not primary.
- **Live price, float, average volume, and the price path around the May 29 release.** Vendor data only; the broker rail was unavailable to both benches. Our sizing math rests on it.
- **Whether the shop counts are real.** No independent verification of 7,531 locations. Everything about unit trends comes from the company.

- **Greater China demand in the current quarter.** No visibility at all, for the structural reason above.
- **The buyback's actual execution.** We know the authorization. We do not know whether a single share has been repurchased, or with what money.
- **Whether the seasonal improvement thesis survives the subsidy war.** The reconstructed 2024 shape says Q3 is the peak. But 2024 was a pre-shock year. If the subsidy war overwhelms seasonality, the 2024 shape is the wrong template — and that is precisely the mistake we caught our own red bench making in the opposite direction.

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2026 results carry all four entry triggers, both kill conditions,
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